

Mindteck Inc.
Financial statements
March 31, 2015 and 2014
(With Independent Auditors' Report thereon)

MINDTECK INC.
Financial Statements
March 31, 2015 and 2014

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Independent Auditors' Report

The Board of Directors
Mindteck (India) Limited:

Report on the Financial Statements

At the request of Mindteck (India) Limited, we have audited the accompanying financial statements of Mindteck Inc. ("the Company"), which comprise the balance sheets as at March 31, 2015 and 2014, the statements of income and comprehensive income, changes in stockholders' equity and cash flow for the years then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with U.S. generally accepted accounting principles and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at March 31, 2015 and 2014, and of its financial performance and its cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

KPMG.

Bangalore, India
July 31, 2015

MINDTECK INC.
BALANCE SHEETS
(In United States Dollars)

<u>Assets</u>	<u>As of March 31, 2015</u>	<u>As of March 31, 2014</u>
<i>Current assets:</i>		
Cash and cash equivalents	1,589,582	186,276
Accounts receivable from affiliates (Notes 3 & 10)	297,047	309,250
Accounts receivable, net of allowances (Note 3)	6,231,585	7,264,707
Unbilled revenue	1,394,761	1,787,654
Loan to affiliates	185,960	231,024
Income taxes receivable	144,202	105,071
Other current assets (Note 4)	97,795	80,050
Total current assets	9,940,932	9,964,032
Property, plant and equipment, net (Note 5)	136,711	17,122
Goodwill (Note 6)	2,219,224	2,219,224
Deposits	38,028	11,969
Total assets	12,334,895	12,212,347
 <u>Liabilities and Stockholders' equity</u>		
<i>Current liabilities:</i>		
Accounts payable	723,968	1,294,188
Accounts payable to affiliates (Note 10)	1,017,506	1,090,318
Income taxes payable	-	8,931
Other current liabilities (Note 8)	1,815,242	2,123,159
Unearned revenue	229,022	44,861
Compensated absences	353,301	392,386
Total current liabilities	4,139,039	4,953,843
Income taxes payable	-	1,164,446
Deferred income tax liability (Note 9)	495,062	447,714
Total liabilities	4,634,101	6,566,003
Stockholders' equity		
Common stock, \$1 par value; Authorized 250,000 shares; issued and outstanding 19,000 shares	19,000	19,000
Additional paid-in capital	8,123,979	8,120,137
Accumulated deficit	(442,185)	(2,493,393)
Total stockholders' equity	7,700,794	5,646,344
Total liabilities and stockholders' equity	12,334,895	12,212,347

See accompanying notes to financial statements.

MINDTECK INC.
STATEMENTS OF INCOME AND COMPREHENSIVE INCOME
(In United States Dollars)

	<u>Year ended March 31, 2015</u>	<u>Year ended March 31, 2014</u>
Revenues	40,641,263	44,610,398
Operating expenses:		
Cost of revenues (excluding depreciation and amortization)	(33,764,354)	(38,024,649)
Selling, general and administrative expenses (excluding depreciation and amortization)	(5,902,667)	(5,544,999)
Depreciation and amortization (Note 5)	(40,792)	(27,815)
Total operating expenses	<u>(39,707,813)</u>	<u>(43,597,463)</u>
Operating income	933,450	1,012,935
Other income	2,763	1,769
Interest expense	(2,088)	(2,115)
Income before income taxes	934,125	1,012,589
Income taxes (Note 9)	1,117,083	(137,744)
Net income (loss)	<u>2,051,208</u>	<u>874,845</u>
Other comprehensive income	-	-
Comprehensive income	<u>2,051,208</u>	<u>874,845</u>

See accompanying notes to financial statements.

MINDTECK INC.
STATEMENTS OF STOCKHOLDERS' EQUITY
(In United States Dollars, except share data)

	Common Stock		Additional	Accumulated	Accumulated	Total
	Number of shares	Amount	Paid- in Capital	deficit	Other Comprehensive income	Stock holders' equity
Balances at April 1, 2013	19,000	19,000	8,120,139	(3,368,238)	-	4,770,901
Stock compensation expense [Note 11]	-	-	598	-	-	598
Net income	-	-	-	874,845	-	874,845
Other comprehensive income	-	-	-	-	-	-
Balances as of March 31, 2014	19,000	19,000	8,120,737	(2,493,393)	-	5,646,344
Stock compensation expense [Note 11]	-	-	3,242	-	-	3,242
Net income	-	-	-	2,051,208	-	2,051,208
Other comprehensive income	-	-	-	-	-	-
Balances as of March 31, 2015	19,000	19,000	8,123,979	(442,185)	-	7,700,794

See accompanying notes to financial statements.

MINDTECK INC.
STATEMENTS OF CASH FLOW
(In United States Dollars)

	Year ended March 31, 2015	Year ended March 31, 2014
Cash flows from operating activities:		
Net income	2,051,208	874,845
<i>Adjustments to reconcile net income to net cash provided by operating activities:</i>		
Depreciation	40,792	27,815
Stock compensation expense	3,242	598
Deferred income tax expense/(benefit)	47,348	59,966
<i>Changes in operating assets and liabilities</i>		
Accounts receivable and unbilled revenue	1,438,218	(721,846)
Other assets	(43,804)	(32,153)
Income taxes	(1,212,508)	48,234
Accounts payable	(643,032)	(378,781)
Other liabilities	(162,841)	428,323
Net cash provided by operating activities	1,518,623	307,001
Cash flows from investing activities:		
Expenditure on property, plant and equipment	(160,381)	-
Loan (given to)/repaid by Mindteck Singapore Pte Ltd	45,064	(45,064)
Net cash used in investing activities	(115,317)	(45,064)
Cash flows from financing activities:		
Repayment of Short-term borrowings	-	(75,692)
Net cash used in financing activities	-	(75,692)
Net changes in cash and cash equivalents	1,403,306	186,245
Cash and cash equivalents at beginning of year	186,276	31
Cash and cash equivalents at end of year	1,589,582	186,276
Supplementary information:		
Cash paid for interest	2,028	2,305
Income taxes paid	48,077	29,546

See accompanying notes to financial statements.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

1. Organization and description of the business

Mindteck Inc. (“the Company”), is a software development and consulting company headquartered in Camp Hill, Pennsylvania. The Company was incorporated in November 1995 and is a wholly owned subsidiary of Mindteck (India) Limited (‘MIL’).

2. Summary of Significant Accounting Policies

(a) Basis of preparation of financial statements:

The accompanying financial statements have been prepared in conformity with U.S. Generally Accepted Accounting Principles (U.S. GAAP).

(b) Use of estimates:

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates and assumptions are used for, but not limited to, accounting for costs and efforts expected to be incurred to complete performance under software development arrangements, allowance for uncollectible accounts receivable, the useful lives of property and equipment and intangible assets, income tax valuation allowances and reserve for uncertain tax positions. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

(c) Revenue recognition:

The Company derives its revenues primarily from software development and technical consultancy services. Software development and technical consultancy services are performed under both time-and-material and fixed-price arrangements. Revenues are recognized as the services are rendered for time-and-material contracts and for fixed fee arrangements, on a proportional performance basis based on actual direct costs in relation to total estimated costs. Revenues are recognized when persuasive evidence of an arrangement exists, the sales price is fixed or determinable and collectability is reasonably assured.

Revenues are recognized net of value added tax, service tax and applicable discounts.

The Company records reimbursable out-of-pocket expenses in both revenues and as cost of revenue.

Costs and earnings in excess of billings are classified as unbilled revenue while billings in excess of costs and earnings are classified as unearned revenue.

Interest income is recognized using the time proportion method, based on the transactional interest rates.

(d) Cash and cash equivalents:

The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. Cash and cash equivalents comprise cash and cash on demand deposit with banks.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
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(e) Fair value of financial instruments and concentration of credit risk:

The amounts reflected for cash and cash equivalents, billed and unbilled receivables and accounts payable approximate their fair value due to their short maturities. Financial instruments that potentially subject the Company to concentration of credit risk consist primarily of cash and cash equivalents and billed and unbilled receivables. The Company mitigates its risk with respect to cash and cash equivalents by maintaining its deposits with financial institutions. The accounts receivable, net of allowances, amounted to USD 6,528,632 and USD 7,573,957 as of March 31, 2015 and 2014 respectively. Two customers accounted for 26% and 17% of total revenues in 2015 and accounted for 12% and 21% of total revenues in 2014. The amounts due from these customers accounted for 29% and 14% of accounts receivable as of March 31, 2015 and 24% and 19% as of March 31, 2014.

Accounts receivable are recorded at the invoiced amount and do not bear interest. The carrying amount of the accounts receivable is reduced by an allowance for doubtful accounts that reflects management's best estimate of the amounts that will not be collected.

(f) Property, plant and equipment, net:

Property, plant and equipment are stated at cost less accumulated depreciation. The costs of additions are capitalized, while repairs and maintenance are charged to expense as incurred. The Company depreciates property, plant and equipment over the estimated useful life using the straight-line method. The estimated useful lives of assets are as follows:

Asset classification	Useful life
Computer and office equipment	3 years
Software	5 years
Furniture and fixtures	5 years
Leasehold improvements	7 years

Assets under leasehold improvements are amortized over their estimated useful life or the lease term, whichever is lower.

(g) Business combinations, goodwill and intangible assets:

The Company accounts for its business combinations by recognizing the identifiable tangible and intangible assets and liabilities assumed, and any non-controlling interest in the acquired business, measured at their acquisition date fair values. Fair value of contingent consideration is included in the purchase consideration and transaction costs are expensed as incurred.

The Company does not amortize goodwill but instead tests goodwill for impairment at least annually, using a two-step impairment process. The fair value of the reporting unit is first compared to its carrying value (including goodwill). The fair value of the reporting units is determined using a combination of valuation techniques including discounted cash flow analysis and market value approaches based on multiples. If the fair value of the reporting unit exceeds the carrying value of the net assets assigned to that unit, goodwill is not impaired. If the carrying value of the net assets assigned to the reporting unit exceeds the fair value of the reporting unit, then the implied fair value of the reporting unit's goodwill is compared with the carrying value of the reporting unit's goodwill. The implied fair value of goodwill is determined in the same manner as the amount of goodwill recognized in a business combination. If the carrying value of a reporting unit's goodwill exceeds its implied fair value, then an impairment loss equal to the difference is recorded.

Intangible assets acquired individually, with a group of other assets or in a business combination are carried at cost less accumulated amortization.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(h) Impairment or disposal of long-lived assets:

Long-lived assets to be held and used are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of such assets may not be recoverable. Such assets are considered to be impaired if the carrying amount of the assets is higher than the future undiscounted net cash flows expected to be generated from the assets. The impairment amount to be recognized is measured by the amount by which the carrying value of the assets exceeds its fair value. The Company measures long-lived assets held-for-sale, at the lower of carrying amount or fair value, less costs to sell.

(i) Income taxes:

Income taxes are accounted for under the asset and liability method. The current charge for income taxes is calculated in accordance with the relevant tax regulations applicable to the Company. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The measurement of deferred tax assets is reduced, if necessary, by a valuation allowance for any tax benefits of which future realization is not more likely than not. Changes in valuation allowance from period to period are reflected in the statement of income in the period of change. Tax benefits of deduction earned on exercise of stock options in excess of compensation charged to earnings are credited to additional paid in capital.

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs.

The Company recognizes interest and penalties related to unrecognized tax benefits in income tax expense.

ASC 740 clarifies the accounting for uncertainty in income taxes recognized in an enterprise's financial statements and prescribes a recognition threshold and measurement attribute for the financial statements recognition and measurement of a tax position taken or expected to be taken in a tax return. The Company is required to recognize in the financial statements the impact of a tax position, if that position is more likely than not of being sustained on audit, based on the technical merits of the position.

(j) Compensated absences:

The Company's liability towards compensated absences is accounted for on the basis of unavailed encashable leave balances at applicable encashable rates.

(k) Foreign currency translation:

The Company's functional currency and reporting currency is the United States Dollar (USD/\$). Foreign currency denominated assets and liabilities are translated into the functional currency at exchange rates in effect at the balance sheet date. The gains or losses resulting from such translations are included in earnings. Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net income for the period in which the transaction is settled. Revenue, expense and cash-flow items denominated in foreign currencies are translated into the functional currency using the exchange rate in effect on the date of the transaction.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(l) Employee stock options:

Certain employees of the Company have been granted stock options under MIL's Mindteck Employee Stock Option Scheme, 2005, which gives such employees the right to purchase equity shares of MIL on exercise.

The Company accounts for its employee stock-based compensation awards measuring and recognizing compensation expense for all stocks-based payments awards based on the grant date fair value of those awards.

For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

(m) Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigations, fine and penalties and other sources are recorded when it is probable that a liability has been incurred and the amount of the assessment and/or remediation can be reasonably estimated.

3. Accounts receivable, net of allowances:

Accounts receivable, net of allowance consists of:

	2015	2014
Due from related parties (Refer Note 10)	297,047	309,250
Others		
Accounts receivable, gross	6,254,390	7,284,957
Less: Allowance for doubtful accounts	(22,805)	(20,250)
	<u>6,231,585</u>	<u>7,264,707</u>
Accounts receivable, net of allowances	<u>6,528,632</u>	<u>7,573,957</u>

The Company maintains an allowance for doubtful accounts based on financial condition of the customer and ageing of the accounts receivable. The activity in the allowance for doubtful debts for account receivable is as follows:

	2015	2014
Allowance at the beginning of the year	20,250	-
Provided during the year	2,555	20,250
Allowance at the end of the year	<u>22,805</u>	<u>20,250</u>

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

4. Other current assets:

Other current assets consist of the following:

	2015	2014
Prepaid expenses	31,396	38,430
Advances to suppliers and others	10,625	17,137
Deposits – Current	55,774	24,483
	<u>97,795</u>	<u>80,050</u>

5. Property, plant and equipment, net:

Property, plant and equipment, net consist of the following:

	2015	2014
Computer equipment	432,333	301,782
Furniture and fixtures & office equipment	221,276	218,009
Leasehold improvements	173,060	146,496
	<u>826,669</u>	<u>666,287</u>
Accumulated depreciation	(689,958)	(649,165)
	<u>136,711</u>	<u>17,122</u>

Depreciation expense amounted to USD 40,792 and USD 27,815 for the years ended March 31, 2015 and 2014 respectively.

6. Goodwill:

Goodwill of \$ 2,219,224 represents the excess of the aggregate purchase price over the fair value of net assets acquired in connection with a business combination that was consummated during the year ended March 31, 2006.

Goodwill is tested for impairment at least annually. The fair value of the Company's reporting unit was determined on the basis of an independent valuation using the market approach and the discounted cash flow approach. No impairment was identified as of March 31, 2015 and 2014.

7. Borrowings from bank:

On December 19, 2008, the Company entered into a revolving line of credit with Citizens Bank that permitted the Company to draw up to USD 2,000,000 through 2015, bearing interest at LIBOR plus 2%. The Company must also pay an unused fee of 0.10%. The applicable interest rate and unused fee as of March 31, 2015 were 2.17% and 0.10% respectively. At March 31, 2015, the Company had USD 2,000,000 available to be drawdown under this facility.

Borrowings are collateralized by a first lien on accounts receivable and a pledge on all business assets of the Company. MIL, the parent company, has issued a corporate guarantee of USD 2,000,000 on behalf of the Company, to Citizens Bank towards the line of credit facility. The agreement contains financial covenants and restrictions on indebtedness. The interest and unused fee amounting to USD 2,088 and USD 2,112 for the years ended March 31, 2015 and 2014 respectively on the above facility have been charged to interest expense.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
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8. Other current liabilities:

Other current liabilities consist of:

	2015	2014
Accrued expenses	1,758,807	2,040,878
Statutory liabilities	56,435	82,281
	<u>1,815,242</u>	<u>2,123,159</u>

9. Income taxes:

The income tax expense during the years ended March 31, 2015 and 2014 consist of the following:

	2015	2014
Current taxes		
Federal	(1,165,056)	54,816
State	625	22,962
	<u>(1,164,431)</u>	<u>77,778</u>
Deferred taxes		
Federal	50,358	45,369
State	(3,010)	14,597
	<u>47,348</u>	<u>59,966</u>
Income tax expense/(benefit)	<u>(1,117,083)</u>	<u>137,744</u>

Income tax benefit for the current year attributable to income from continuing operations differed from the amounts computed by applying the US federal statutory income tax rate of 34% primarily due to decrease in uncertain tax positions as per the guidelines of ASC 740 and change in valuation allowance.

Deferred income taxes reflect the net effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of net deferred tax assets and liabilities as of March 31, 2015 and 2014 are as follows:

	2015	2014
Deferred tax assets:		
Bad debt reserve	8,559	7,732
Carry forward business losses	307,437	932,065
Intangible assets	195,157	231,646
Accrued expenses and liabilities	154,859	197,348
Property and equipment	22,494	44,389
Others	76,480	81,241
Total gross deferred tax asset	764,986	1,494,421
Less: Valuation allowance	(764,986)	(1,494,421)
Total deferred tax assets	<u>-</u>	<u>-</u>
Deferred tax liabilities:		
Goodwill	(495,062)	(447,714)
Net deferred tax liability	<u>(495,062)</u>	<u>(447,714)</u>

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

9. Income taxes (continued):

Classified as

Deferred tax asset – Current	-	-
Deferred tax asset – Non-current	-	-
Deferred tax liability – Non-current	495,062	447,714

Management establishes a valuation allowance on deferred tax assets when it is more likely than not that the benefit of such deferred tax assets will not be realised. The ultimate realization of deferred tax assets is dependent upon management's assessment of the Company's ability to generate taxable income during the periods in which the temporary differences become deductible. Based on the historical level of taxable income and projections of future taxable income over the periods in which the deferred tax assets are deductible, management believes that it is more likely than not the Company will realize the benefits of these deductible differences net of the existing valuation allowances at March 31, 2015 and 2014. Management's assessment in the near term is subject to change if estimates of future taxable income are reduced.

The Company has recorded a valuation allowance of USD 764,986 and USD 1,494,421 as at March 31, 2015 and March 31, 2014 respectively representing a decrease in valuation allowance of USD 729,435 primarily on account of utilization of past carryforward losses during the current year. Management based on its future business projections believes that it is more likely than not that the Company will not be able to utilize the deferred tax asset.

As of March 31, 2015 and 2014, the Company has federal and state net operating loss carry forwards of USD 1,405,287 and USD 3,366,296 respectively available to offset future taxable income, which expire in various years beginning in 2017.

As of March 31, 2015 and 2014, the liability for unrecognized tax benefits was USD Nil and USD 1,166,097 including accrual for interest of USD Nil and USD 237,359, respectively.

The Company files federal and various state tax returns. As a result of the net operating losses in prior years, the federal statute of limitations will remain open for a period following any utilization of the net operating loss carry forwards, and as such, these periods remain subject to examination for tax years after 2011. With few exceptions, the state filings are no longer subject to examination by the tax authorities for tax years before 2011. The Company is currently not under examination by the Internal Revenue Service or any other taxing authority.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

10. Related party transactions

The Company has also entered into the following significant transactions with related parties:

	2015	2014
Expenses incurred by the Company and reimbursed by:		
a) Mindteck (India) Limited – holding company	273,921	198,488
b) Mindteck UK Limited - fellow subsidiary	1,158	2,963
c) Mindteck Singapore Pte Ltd– fellow subsidiary	1,780	4,487
d) Minteck Germany GmbH– fellow subsidiary	250,354	540,337
Subcontracting costs:		
a) Mindteck (India) Limited – holding company	8,233,843	9,177,465
b) Mindteck Singapore Pte Ltd– fellow subsidiary	213,437	216,445
c) Mindteck UK Limited - fellow subsidiary	355,761	447,438
Reimbursement by the Company of the expenses incurred by:		
a) Mindteck (India) Limited – holding company	879,298	782,106
b) Mindteck Singapore Pte Ltd– fellow subsidiary	-	1,443
c) Mindteck UK Limited - fellow subsidiary	52,064	80,304

The balances receivable from and payable to related parties as at March 31, 2015 and 2014 are as follows:

Accounts receivable

	2015	2014
Mindteck (India) Limited - holding company	273,922	234,251
Mindteck Germany GmbH - fellow subsidiary	22,903	20,159
Mindteck Singapore Pte Ltd - fellow subsidiary	116	4,487
Mindteck UK Limited - fellow subsidiary	106	50,353
Total	<u>297,047</u>	<u>309,250</u>

Accounts payables

	2015	2014
Mindteck (India) Limited – holding company	948,404	953,890
Mindteck UK Limited - fellow subsidiary	28,845	34,449
Mindteck Singapore Pte Ltd– fellow subsidiary	40,257	101,979
Total	<u>1,017,506</u>	<u>1,090,318</u>

Loans to affiliates

	2015	2014
Mindteck Middle East Limited SPC - fellow subsidiary	185,960	185,960
Mindteck Singapore Pte Ltd - fellow subsidiary	-	45,064

Loan to Mindteck Middle East Limited SPC is interest-free and repayable on demand. Loan to Mindteck Singapore Pte Ltd was carrying interest of 2% and was repayable by 31 May 2014 or such extended date. The loan has been repaid on 10 April 2014.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

11. Stock option plan

Mindteck Employees Stock Option Scheme 2005

Mindteck (India) Limited introduced the 'Mindteck Employees Stock Option Scheme 2005' ('the Option Scheme 2005') for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.16 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors. The options vest annually in a graded manner over a three year period and are exercisable during a maximum period of five years from the date of vesting.

The Company has granted 8,400 options during the year ended March 31, 2015 and nil options during the year ended March 31, 2014.

Stock option activity under the Option Scheme 2005 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2015	2014	2015	2014
Outstanding at the beginning of the year	37,200	95,100	0.32	0.32
Granted during the year	8,400	-	0.60	-
Forfeited and lapsed during the year	(15,300)	(57,900)	0.30	0.27
Exercised during the year	(4,800)	-	0.30	-
Outstanding at the end of the year	25,500	37,200	0.40	0.32
Exercisable at the end of the year	17,100	24,800	0.30	0.32

The following table summarizes information relating to stock options outstanding under the Option Scheme 2005 as of March 31, 2015 and 2014:

Exercise price (\$)	Shares arising out of outstanding no. of options		Weighted average remaining contractual life		Shares arising out of exercisable no. of options	
	2015	2014	2015	2014	2015	2014
0.30	25,500	-	4.28	-	17,100	-
0.32	-	37,200	-	4.36	-	24,800
	25,500	37,200			17,100	24,800

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

11. Stock option plan (continued)

Mindteck Employees Stock Option Scheme 2008

Mindteck (India) Limited introduced the 'Mindteck Employees Stock Option Scheme 2008' ('the Option Scheme 2008') for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on May 27, 2008 and the shareholders meeting held on July 30, 2008. The Option Scheme 2008 provides for the creation and issue of 1,200,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.16 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors. The options will vest after the expiry of a period of twelve months from the date on which the options are granted. The vesting term and the period over which the options are exercisable is to be decided by the Nomination & Remuneration Committee of the Board of Directors.

The Company has granted 65,000 options during the year ended March 31, 2015 and nil options during the year ended March 31, 2014.

Stock option activity under the Option Scheme 2008 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2015	2014	2015	2014
Outstanding at the beginning of the year	-	-	-	-
Granted during the year	65,000	-	0.70	-
Forfeited and lapsed during the year	(15,000)	-	0.70	-
Exercised during the year	-	-	-	-
Outstanding at the end of the year	50,000	-	0.70	-
Exercisable at the end of the year	-	-	0.70	-

The following table summarizes information relating to stock options outstanding under the Option Scheme 2008 as of March 31, 2015 and 2014:

Exercise price (\$)	Shares arising out of outstanding no. of options		Weighted average remaining contractual life		Shares arising out of exercisable no. of options	
	2015	2014	2015	2014	2015	2014
0.70	50,000	-	6.37	-	-	-
	50,000	-			-	-

During the year ended March 31, 2015 and 2014, the Company recognized approximately USD 3,242 and USD 598 as stock-based compensation expense respectively. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

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11. Stock option plan (continued)

The Company has granted 73,400 shares during the year ended March 31, 2015 and nil shares during the year ended 31 March 2014. The per share weighted average fair value of stock options granted during the year ended March 31, 2015 and 2014 were USD 0.68 and USD nil respectively. The fair value of each stock option grant is estimated on the date of grant using the Black-Scholes option pricing model with the following assumptions:

	2015
Dividend yield	5%
Expected term	4 years
Risk free interest rate	7.9%
Volatility	59 - 65 %

The unamortized stock compensation cost relating to unvested options as at March 31, 2015 and March 31, 2014 amounts to USD 16,460 and USD 229 respectively. The total fair value of shares vested was USD 1,737 and USD NIL during the years ended March 31, 2015 and 2014.

12. Commitments and contingencies

Leases

The Company is obligated under non-cancelable operating lease for office and residential space and equipments that are renewable on a periodic basis at the option of both the lessor and the lessee.

As at March 31, 2015, future minimum lease payments under non-cancelable leases are:

Year ending March 31, 2016	171,269
Year ending March 31, 2017	174,399
Year ending March 31, 2018	159,504
Year ending March 31, 2019	158,641
Year ending March 31, 2020	162,494
Year ending March 31, 2021	94,932
Total	921,239

Total rental expenditure under the operating lease, cancelable and non-cancelable was USD 334,924 and USD 243,847 for the years ended March 31, 2015 and 2014 respectively.

Capital Commitments

There were no capital commitments as of March 31, 2015 and 2014.

Contingencies and lawsuits

The Company is involved in lawsuits, claims, investigations and proceedings, including patent and commercial matters, which arise in the ordinary course of business. The Company believes that there are no such pending matters that are expected to have any material adverse effect on its financial statements.

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13. Stockholders' equity and dividend:

The Company presently has one class of stock – common stock. For all matters submitted to vote in the stockholders' meeting, every holder of common stock as reflected in the records of the Company on the date of the stockholders' meeting shall have one vote in respect of each share held. In the event dividend is declared, it is recognized upon approval by the board of directors.

14. Subsequent events

The Company performs an evaluation of events that occur after the balance sheet date but before the financial statements are issued or available to be issued, for potential recognition or disclosure of such events in its financial statements. The Company evaluated all events or transactions that occurred between March 31, 2015 and July 31, 2015, the date the Company issued their financial statements and determined that no events or transactions which would require adjustments or disclosure in the Company's financial statements.